

VWAP & Volume Profile Advanced Trading Playbook

TLDR

Anchor VWAP to meaningful events. Use volume profile for key levels. Trade when both align.

Beginner Layer

VWAP shows the average price institutions transact at. Price above VWAP = bullish bias, below = bearish. Volume Profile shows where trading activity is concentrated (POC, HVN, LVN).

Intermediate Layer

Use Anchored VWAP (AVWAP) on: - Breakouts - News events - Session opens Combine with Volume Profile: - HVNs = support/resistance - LVNs = fast price movement zones

Expert Layer

Think in terms of positioning: - VWAP = institutional cost basis - Crosses = control shifts - Confluence = VWAP + structure + liquidity Key setups: - VWAP reclaim = trend continuation - VWAP rejection = reversal - VWAP compression = breakout

Anchoring Framework

Intraday: 9:30 open, premarket break, news candle Swing: earnings gap, weekly open, breakout candle Trend: last pullback Mean Reversion: expansion candle

Execution Checklist

1. Identify anchor 2. Confirm VWAP direction 3. Align with volume profile 4. Confirm structure 5. Execute with risk management

Risk Management

Use VWAP as dynamic stop. Target next HVN or liquidity zone. Avoid trading in low-volume chop.